Tutorial note

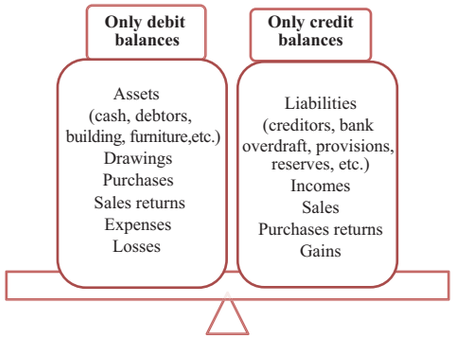
1. If the value of closing stock is known on the day when trial balance is prepared, then opening stock and closing stock are adjusted with purchases. Hence, opening stock will not appear in the trial balance. Closing stock and adjusted purchases will appear in the trial balance. If the value of closing stock is not known then opening stock and purchases will appear in the trial balance. Thus, either opening stock and purchases or closing stock and adjusted purchases will appear in the trial balance.
2. Under balance method, if an account does not have a balance, it is excluded.

Student activity

Think: Analyse the above format. Can you identify accounts that have only debit balances/ credit balances always?

Tutorial note

There are certain accounts which have only debit balances. Similarly, certain accounts have only credit balances. The following chart gives examples of such accounts:



For example, the following transactions took place in the business of Rathna Kumar, who deals in textiles.

2017

January		₹
1	Commenced business with capital	5,00,000
5	Bought furniture for cash	6,000
10	Purchased goods for cash	10,000
15	Bought goods on credit from Jeyanthi	25,000
18	Returned goods to Jeyanthi	2,500
20	Sold goods for cash	32,000
25	Sold goods to Elizabeth on credit	72,000
30	Paid salaries to Krishnan by cash	7,000
31	Received commission from Kumar by cash	2,800
31	Received cash from Elizabeth	22,000

The journal entries, ledger postings and trial balance for the transactions will appear as below in the books of Rathna Kumar.

In the books of Rathna Kumar

Journal entries

Date	Particulars	L.F.	Debit ₹	Credit ₹
2017	Cash A/c Dr.		5,00,000	
Jan 1	To Rathna Kumar's capital A/c			5,00,000
	(Business commenced with capital)			

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